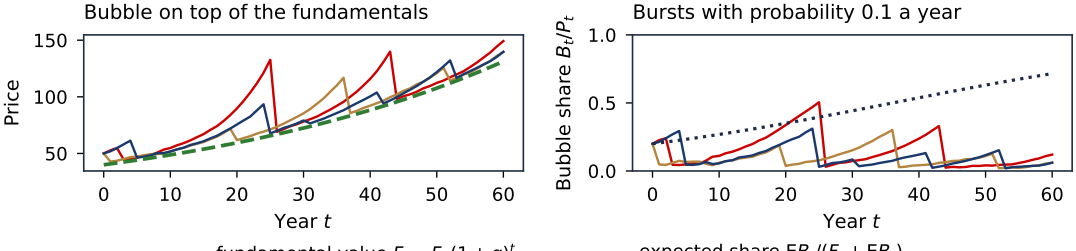
Bubble on top of the fundamentals
Price
150
100
50
0
10
20
30
40
50
60
Year $t$
Bursts with probability 0.1 a year
Bubble share $B_t/P_t$
1.0
0.5
0.0
0
10
20
30
40
50
60
Year $t$
fundamental value $F_t = F_0(1+g)^t$
price $P_t = F_t + B_t$, three simulated paths
expected share $\mathrm{E}B_t/(F_t + \mathrm{E}B_t)$